Foreign Exchange Policy Department-1
Bangladesh Bank
Head Office
Dhaka
www.bb.org.bd

FEPD-1 Circular No. 03 Date: January 08, 2026

All Authorized Dealers in
foreign exchange in Bangladesh

Streamlining the disposal of inward remittances and enhancing operational efficiency

Dear Sirs,

In terms of the provisions of FE Circular No. 31 dated July 31, 2025 and subsequent circulars regarding (i) disposal of export proceeds through EXP Form formalities, including e-Commerce exports without EXP Form, (ii) repatriation of export proceeds received in advance under Advance Remittance Voucher (ARV) procedures, and (iii) disposal of other inward remittances (excluding export and wage remittances) through Form-C, including cases where Form-C is not required, Authorized Dealers (ADs) are required to dispose of such transactions in compliance with the applicable regulatory instructions.

02. To streamline the disposal of inward remittances and enhance operational efficiency, ADs shall ensure timely processing and crediting of cross-border inward payment receipts, subject to observance of the instructions set out herein:

03. Customer notification, processing and timely crediting:

(a) ADs shall notify customers promptly, through secure electronic channels, upon receipt of inward remittance messages. Messages received after close of banking transaction hours shall be notified at the beginning of the next business day.

(b) Subject to regulatory compliance and risk assessment, ADs shall promptly credit inward remittances to beneficiaries' accounts through straight-through processing (STP) arrangements, taking into account the customer profile, transaction value and frequency, transaction type, and country/counterparty risk. Where STP arrangements are not operational, ADs shall apply risk-based expedited processing so as to facilitate timely credit. Upon completion of processing, ADs shall credit inward remittances in line with the following timelines:

(i) inward remittances received during banking transaction hours shall be credited on the same business day; those received after banking transaction hours shall be credited on the next business day.

(ii) recurring transactions shall follow the same timelines.

(c) The above timelines shall apply, where all required transaction details or prior documentation are available.

(d) Where all essential information for crediting is available, ADs may credit the beneficiaries' accounts even if some documents or checks are pending. Remaining items shall be completed later as part of routine post-credit review and monitoring, without delaying the credit.

(e) Where effective post-credit review and monitoring is not feasible due to the requirement for additional due diligence, regulatory checks, or documentation, ADs shall undertake pre-credit verification in the following situation, including but not limited to:

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(i) inward remittances involving new customers or customers with no recent transactional history;
(ii) transactions originating from, or routed through, jurisdictions classified as high-risk in accordance with applicable guidelines;
(iii) transactions with incomplete, or inconsistent information relating to the stated purpose or the underlying transaction;
(iv) remittances subject to specific regulatory requirements, or approvals, and
(v) transactions flagged by sanctions screening systems, transaction monitoring systems, or manual review.

ADs shall identify such cases immediately upon receipt of the inward remittance, prioritize their processing without undue delay, and complete settlement at the earliest practicable time, not exceeding 3 business days. ADs shall maintain a daily follow-up mechanism to monitor progress and ensure timely resolution of such cases.

04. Use of intraday confirmations and reduction of end-of-day dependency:

(a) ADs should reduce dependence on end-of-day or next-day nostro account statements for crediting inward remittances and, to the extent feasible, use intraday credit confirmations and scheduled intraday statements to enable faster credit to beneficiaries.

(b) ADs shall put in place appropriate mechanisms, systems, and controls to ensure timely reconciliation of nostro account balances and confirmation of incoming credits. Such reconciliation may be undertaken on a near real-time basis or at frequent periodic intervals, commensurate with the bank's operational capabilities; however, reconciliation intervals shall, as a general benchmark, not exceed 60 minutes.

05. Payment tracking, transparency, and UETR compliance:

(a) ADs shall ensure appropriate tracking of inward remittance transactions from receipt to final credit, including the use of the Unique End-to-End Transaction Reference (UETR), where applicable. ADs are encouraged to maintain a high level of compliance in updating tracker information in a timely manner.

(b) The UETR shall be carried through domestic transactions, including inter-bank transfers, up to the ultimate beneficiary to ensure end-to-end traceability.

06. Inter-bank transfers:

(a) Where inward remittances are received in favor of beneficiaries maintaining accounts with other ADs, the receiving AD shall transfer the funds without delay to the relevant AD through the FC Clearing BD-RTGS System.

(b) Ultimate beneficiaries' ADs shall send credit-successful confirmations to intermediary ADs through appropriate messaging channels, including the UETR for end-to-end reference. Intermediary ADs shall update payment trackers accordingly.

07. Digital facilitation and customer interfaces:

(a) ADs shall establish secure digital interfaces to facilitate foreign exchange transactions, enabling electronic submission of required information and documents, electronic acknowledgements, and monitoring of transaction status by customers. Information provided by customers via secure digital interfaces-including repatriated amount, remitter details, purpose of

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remittance, and other relevant particulars-shall be deemed authentic based on the customer’s declaration and shall be captured, validated, and retained by ADs in an auditable and retrievable manner in accordance with internal controls. Information relating to inward remittances received through secure banking channels, including authenticated remittance messages, shall be treated likewise. Accordingly, Form-C and Form-C (ICT) shall stand discontinued.

(b) Until such interfaces are implemented, ADs shall collect remittance purpose and supporting information/documents through their existing digital channels, consistent with risk-based controls and regulatory compliance.

08. This guidance note shall come into force with immediate effect. ADs shall be allowed a transition period up to March 31, 2026 to fully operationalize the frameworks outlined above. During this period, ADs shall take all necessary preparatory and progressive measures to ensure timely and effective compliance, with particular emphasis on the implementation of STP arrangements/risk-based expedited processing, intraday credit confirmation arrangements, appropriate nostro account reconciliation intervals, use of UETR for end-to-end transaction traceability, and the provision of digital facilitation and customer interfaces.

All other relevant instructions shall remain unchanged. Please bring the contents of this circular to the notice of all your constituents.

Faithfully yours,

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